

Chapter 10: Your First Trading Strategy

From Theory to Practice: Building Your First Algorithmic System

In January 2007, two childhood friends, Emanuel Derman and Nassim Nicholas Taleb, were having dinner at a small Italian restaurant in New York City. Both had become prominent figures on Wall Street—Derman as the head of quantitative strategies at Goldman Sachs and Taleb as a successful options trader. Their dinner conversation turned to a simple trading strategy that one of Derman's junior colleagues had implemented.